

Money laundering and terrorist financing indicators—Financial entities

Overview

ML/TF indicators are potential red flags that could initiate suspicion or indicate that something may be unusual in the absence of a reasonable explanation. Red flags typically stem from one or more factual characteristics, behaviours, patterns or other contextual factors that identify irregularities related to financial transactions or attempted transactions. These often present inconsistencies with what is expected of your [client](#) based on what you know about them.

The ML/TF indicators in this guidance were developed by FINTRAC through a three-year review of ML/TF cases, a review of high quality STRs, published literature by international organizations such as the Financial Action Task Force (FATF) and the Egmont Group, and consultation with reporting entity sectors. These ML/TF indicators do not cover every possible situation but were developed to provide you with a general understanding of what is or could be unusual or suspicious. On its own, a single ML/TF indicator may not appear suspicious. However, observing an ML/TF indicator could lead you to conduct an assessment of the transaction(s) to determine whether there are further [facts](#), contextual elements or additional ML/TF indicators that assist in establishing reasonable grounds to suspect the commission or attempted commission of an ML/TF offence, which requires the submission of an STR.

Criminal organizations often combine various methods in different ways in order to avoid the detection of ML/TF. If you detect unusual or suspicious behaviour or a transaction that prompts the need for an assessment, ML/TF indicators combined with facts and [context](#)

can help you determine if there are **reasonable grounds to suspect** that the transaction is related to the commission or attempted commission of an ML/TF offence. These ML/TF indicators may also be used to explain or articulate the rationale for your reasonable grounds to suspect in the narrative portion of an STR, as they provide valuable information from a financial intelligence perspective.

In addition to the ML/TF indicators in this guidance, you are expected to use the [National Risk Assessment](#) and [risk assessment guidance](#) to inform your risk-based approach (see Related guidance). You are also expected to use FINTRAC's [strategic intelligence](#) which includes additional indicators, and [guidance](#) to identify trends and typologies associated with specific threats and vulnerabilities.

Who is this guidance for

- Financial entities

Important considerations

One piece of the puzzle

The ML/TF indicators in this guidance are not an exhaustive list of ML/TF indicators to support all suspicious scenarios. These ML/TF indicators should be considered as examples to guide the development of your own process to determine when you have reasonable grounds to suspect that the transaction or attempted transaction is related to the commission or attempted commission of an ML/TF offence. These ML/TF indicators are one piece of the puzzle and are designed to complement your own STR process and can be used in conjunction with other publicly available ML/TF indicators.

During an assessment, FINTRAC will review your compliance policies and procedures to see how you use ML/TF indicators within your STR process. Part of the assessment will include evaluating how the actual policies follow your documented approach and determining its effectiveness with respect to the use of ML/TF indicators. This can include a review of transactions to determine how your STR process identifies potential STRs and assesses them using facts, context and ML/TF indicators. For example, you may be asked to provide an explanation if you have not reported an STR for a client you have assessed as high risk and that client's activity also matches against multiple ML/TF indicators.

Combination of facts, context and ML/TF indicators

If the context surrounding a transaction is suspicious, it could lead you to assess a client's financial transactions. Facts, context and ML/TF indicators need to be assessed to determine whether there are reasonable grounds to suspect that the transaction is related to the commission or attempted commission of an ML/TF offence. On its own, a single financial transaction or ML/TF indicator may not appear suspicious. However, this does not mean you should stop your assessment. Additional facts or context about the client or their actions may help you reach the reasonable grounds to suspect threshold.

Alert or triggering system

FINTRAC acknowledges that a reporting entity may have developed a system that relies on specific alerts or triggering events to signal when to assess a transaction to determine if an STR should be submitted to FINTRAC. If you rely on such a system, FINTRAC expects that you review the alerts in a timely manner in order to determine if an STR should be submitted. Regardless of how you choose to operationalize these ML/TF indicators, FINTRAC expects that you will be able to demonstrate that you

have an effective process to identify, assess and submit STRs to FINTRAC.

General ML/TF indicators

The ML/TF indicators in the following section are applicable to both suspected ML and/or TF. The ability to detect, prevent and deter ML and/or TF begins with properly identifying the person or entity in order to review and report suspicious financial activity.

As a financial entity, you may observe these ML/TF indicators over the course of your business activities with a client. It is important to note that depending on your business activities, some of these ML/TF indicators may not apply.

ML/TF indicators related to identifying the person or entity

The following are examples of ML/TF indicators that you may observe when identifying persons or entities.

- There is an inability to properly identify the client or there are questions surrounding the client's identity.
- When opening an account, the client refuses or tries to avoid providing information required by the financial institution, or provides information that is misleading, vague, or difficult to verify.
- The client refuses to provide information regarding the beneficial owners of an account opened for an entity, or provides information that is false, conflicting, misleading or substantially incorrect.
- The identification document presented by the client cannot be authenticated.
- There are inconsistencies in the identification documents or different identifiers provided by the client, such as name, address, date of birth or phone number.

- Client produces seemingly false information or identification that appears to be counterfeited, altered or inaccurate.
- Client displays a pattern of name variations from one transaction to another or uses aliases.
- Client alters the transaction after being asked for identity documents.
- The client provides only a non-civic address or disguises a post office box as a civic address for the purpose of concealing their physical residence.
- Common identifiers (e.g. addresses, phone numbers, etc.) are used by multiple clients that do not appear to be related.
- Common identifiers (e.g. addresses, phone numbers, etc.) are used by multiple clients conducting similar transactions.
- Use of the same hotel address by one or more clients.
- Transactions involve persons or entities identified by the media, law enforcement and/or intelligence agencies as being linked to criminal activities.
- Attempts to verify the information provided by a new or prospective client are difficult.

ML/TF indicators related to client behaviour

The contextual information acquired through the [know your client \(KYC\)](#) requirements or the behaviour of a client, particularly surrounding a transaction or a pattern of transactions, may lead you to conduct an assessment in order to determine if you are required to submit an STR to FINTRAC. The following are some examples of ML/TF indicators that are linked to contextual behaviour and may be used in conjunction with your assessment and your risk-based approach.

- Client makes statements about involvement in criminal activities.
- Client conducts transactions at different physical locations, or approaches different tellers.

- Evidence of untruthfulness on behalf of the client (e.g. providing false or misleading information).
- Client exhibits nervous behaviour.
- Client refuses to provide information when required, or is reluctant to provide information.
- Client has a defensive stance to questioning.
- Client presents confusing details about the transaction or knows few details about its purpose.
- Client avoids contact with reporting entity employees.
- Client refuses to identify a source of funds or provides information that is false, misleading, or substantially incorrect.
- Client exhibits a lack of concern about higher than normal transaction costs or fees.
- Client makes enquiries/statements indicating a desire to avoid reporting or tries to persuade the reporting entity not to file/maintain required reports.
- Insufficient explanation for the source of funds.
- Client closes account after an initial deposit is made without a reasonable explanation.

ML/TF indicators surrounding the financial transactions in relation to the person/entity profile

Clearly understanding the expected activity of a person or entity will allow you to assess their financial activity with the proper lens. For example, an entity involved in an industry that is not normally cash-intensive receiving excessive cash deposits or a person conducting financial transactions atypical of their financial profile. The following are some examples of ML/TF indicators surrounding the financial transactions related to the person/entity profile.

- The transactional activity far exceeds the projected activity at the time of the account opening or the beginning of the relationship.
- The transactional activity (level or volume) is inconsistent with the client's apparent financial standing, their usual pattern of

activities or occupational information (e.g. student, unemployed, social assistance, etc.).

- The volume of transactional activity exceeds the norm for geographical area.
- The transactional activity is inconsistent with what is expected from a declared business (e.g. business account has no normal business-related activities, such as the payment of payrolls or invoices).
- Client appears to be living beyond their means.
- Large and/or rapid movement of funds not commensurate with the client's financial profile.
- Rounded sum transactions atypical of what would be expected from the client.
- Size or type of transactions atypical of what is expected from the client.
- Opening accounts when the client's address or employment address is outside the local service area without a reasonable explanation.
- There is a sudden change in the client's financial profile, pattern of activity or transactions.
- Client uses notes, monetary instruments, or products and/or services that are unusual for such a client.

ML/TF indicators related to products and services

Accounts can take different forms (e.g. chequing, savings, investment, etc.) and for the purposes of this section, the ML/TF indicators below will aim to address the ML/TF risks linked to different types of accounts held by various reporting entities in Canada. There are many ML/TF indicators related to account activity. Your process to evaluate risk for accounts and any other products and services you provide should be documented as part of your KYC and [risk assessment](#) requirements. The following ML/TF indicators will focus on products or services that may be applicable within your business.

- Holding multiple accounts at several financial institutions for no apparent reason.
- Suspected use of a personal account for business purposes, or vice-versa.
- Client appears to have recently established a series of new relationships with different financial entities.
- A product and/or service opened on behalf of a person or entity that is inconsistent based on what you know about that client.
- Frequent use of safety deposit box.
- Accounts used for pass-through activities (e.g. to receive and subsequently send funds to beneficiaries).
- Use of multiple foreign bank accounts for no apparent reason.
- Credit card transactions and payments are exceptionally high for what is expected of the client including an excessive amount of cash advance usage, balance transfer requests or transactions involving luxury items.
- Client frequently makes credit card overpayments and then requests a cash advance.
- Frequent and/or atypical transfers between the client's products and accounts for no apparent reason.
- The same person holds signing authority for accounts held by multiple entities where there is no legal reason or sufficient explanation for such an arrangement.
- Accounts held by multiple entities either headquartered at the same location or having the same directors/signing authorities for no apparent reason.

ML/TF indicators related to change in account activity

Certain changes regarding an account may be indicative of ML/TF for a multitude of reasons including, but not limited to, the use of an account to suddenly launder or transmit funds, an increase in volume, changes in ownership of an account, etc. Changes in account activity may trigger a need for further assessment of the

person or entity holding the account and some examples to consider are listed below.

- A business account has a change in ownership structure with increases in transactional activity and no apparent explanation.
- An inactive account begins to see financial activity (e.g. deposits, wire transfers, withdrawals).
- Accounts that receive relevant periodical deposits and are inactive at other periods without a logical explanation.
- A sudden increase in credit card usage or applications for new credit.
- Abrupt change in account activity.

ML/TF indicators based on atypical transactional activity

There are certain transactions that are outside the normal conduct of your everyday business. These transactions may be indicative of a suspicious transaction, and would require additional assessment. Some examples of ML/TF indicators based on atypical transactional activity are listed below.

- The client has multiple products, atypical of what would be expected.
- A series of complicated transfers of funds that seems to be an attempt to hide the source and intended use of the funds.
- Transactions displaying financial connections between persons or entities that are not usually connected (e.g. a food importer dealing with an automobile parts exporter).
- Transaction is unnecessarily complex for its stated purpose.
- Client presents notes or financial instruments that are packed, transported or wrapped in an uncommon way.
- A client's transactions have no apparent business or economic purpose.
- Transaction is consistent with a publicly known trend in criminal activity.

- Client deposits musty, odd smelling or extremely dirty bills.
- Transaction involves a suspected shell entity (an entity that does not have an economical or logical reason to exist).
- Client frequently exchanges small bills for larger bills.
- Suspicious pattern emerges from a client's transactions (e.g. transactions take place at the same time of day).
- Atypical transfers by a client on an in-and-out basis, or other methods of moving funds quickly, such as a cash deposit followed immediately by a wire transfer of the funds out.
- Funds transferred in and out of an account on the same day or within a relatively short period of time.

ML/TF indicators related to transactions structured below the reporting or identification requirements

Structuring of transactions to avoid reporting or identification requirements is a common method for committing or attempting to commit an ML/TF offence. There are multiple thresholds which trigger reporting/identification requirements by a reporting entity. Some examples of ML/TF indicators which may be indicative of a person or entity attempting to evade identification and/or reporting thresholds are listed below.

- You become aware of the structuring of deposits at multiple branches or institutions.
- Client appears to be structuring amounts to avoid client identification or reporting thresholds.
- Client appears to be collaborating with others to avoid client identification or reporting thresholds.
- The structuring of deposits through multiple branches of the same financial institution or by groups of persons who enter a single branch at the same time.
- Multiple transactions conducted below the reporting threshold within a short period.
- Client makes enquiries that would indicate a desire to avoid reporting.

- Client conducts transactions at different physical locations or with different representatives in an apparent attempt to avoid detection.
- Client exhibits knowledge of reporting thresholds.

ML/TF indicators involving wire transfers (including electronic funds transfers)

In our current global environment, it is increasingly easier to transfer funds to, from or through multiple jurisdictions (municipal, national or international) in a rapid fashion. This presents an increased ML/TF risk as transactions passing through multiple accounts and/or jurisdictions increase the difficulty for reporting entities and law enforcement to trace illicit funds. Examples of these types of transactions which may require further assessment include the following.

- Client is unaware of details surrounding incoming wire transfers, such as the ordering client details, amounts or reasons.
- Client does not appear to know the sender of the wire transfer from whom the wire transfer was received, or the recipient to whom they are sending the wire transfer.
- Client frequents multiple locations utilizing cash, prepaid credit cards or money orders/cheques/drafts to send wire transfers overseas.
- The client sends wire transfers or receives wire transfers to or from multiple beneficiaries that do not correspond to the expected use of the account type or business account.
- Client is accompanied by persons who appear to be instructing the sending or receiving of wire transfers on their behalf.
- Multiple persons are sending wire transfers that are similar in amounts, receiver names, security questions, addresses or destination country.

- Client attempts to specify the routing of an international wire transfer.
- Client conducts wire transfers that do not include theirs or the beneficiary's requisite information.
- Client utilizes structured cash transactions to send wire transfers in an effort to avoid record keeping requirements.
- Funds are deposited or received into several accounts and then consolidated into one before transferring the funds outside the country.
- Immediately after transferred funds have cleared, the client moves funds, to another account or to another person or entity.
- Multiple clients have sent wire transfers over a short period of time to the same recipient.
- Large wire transfers or high volume of wire transfers are conducted or received through the account that does not fit the expected pattern of that account.
- Large and/or frequent wire transfers between senders and receivers with no apparent relationship.
- Client sending to, or receiving wire transfers from, multiple clients.

ML/TF indicators related to transactions that involve non-Canadian jurisdictions

There are certain types of transactions that may be sent or received from jurisdictions outside of Canada where there is higher ML/TF risk due to more permissible laws or the local ML/TF threat environment. The following are examples to consider when making an assessment of the financial transaction conducted by a person/entity through your business.

- Transactions with jurisdictions that are known to produce or transit drugs or precursor chemicals, or are sources of other types of criminality.

- Transactions with jurisdictions that are known to be at a higher risk of ML/TF.
- Transaction/business activity involving locations of concern, which can include jurisdictions where there are ongoing conflicts (and periphery areas), countries with weak ML/TF controls, or countries with highly secretive banking or other transactional laws.
- Transactions involving any countries deemed high risk or non-cooperative by the FATF.
- Client makes frequent overseas transfers, not in line with their financial profile.

Due to the ever-evolving nature of the ML/TF environment, high risk jurisdictions and trends are often subject to change. To ensure that you are referencing accurate information, FINTRAC encourages you to research publicly available sources on a regular basis to support these ML/TF indicators as part of your STR process. There are multiple sources that identify jurisdictions of concern, including the FATF, which publishes contextual information on high-risk jurisdictions in relation to their risk of ML and TF. You may also observe funds coming from or going to jurisdictions that are reported in the media as locations where terrorists operate/carry out attacks and/or where terrorists have a large support base (state sponsors or private citizens). Identifying high-risk jurisdictions or known trends can also be included as part of your risk-based approach and internal STR process.

ML/TF indicators related to the use of other parties

In the course of a "normal" financial transaction, there are a "normal" number of parties who engage in the transaction, depending on the nature of the transaction at hand. For example, in the instance of depositing cash to a personal bank account, there is generally one party to the transaction: the person who holds the account is depositing into their own account. By contrast, with the deposit of cash to a business account, you can have many different

parties, including: persons associated with the business's finance function who hold authority over the account, or an employee who may be charged with depositing the cash.

Transactions that involve parties not typically associated with a transaction can present an elevated risk of ML and/or TF. These additional parties can be used to allow a criminal to avoid being identified or being linked to an asset or account. This section includes examples of how the involvement of other parties may be indicative of the structure of a criminal enterprise. Some examples of such other parties include the use of a third party, nominee or gatekeeper.

Use of third party

A third party is any person or entity that instructs someone to act on their behalf for a financial activity or transaction. There are some situations where there is an apparent and discernable rationale for the inclusion of the third party in a transaction and this may not be suspicious. However, you may become suspicious in a situation where the reason for a person or entity acting on behalf of another person or entity does not make sense based on what you know about the client or the third party. Use of third parties is one method that money launderers and terrorist activity financiers use to distance themselves from the proceeds of crime or source of criminally obtained funds. By relying on other parties to conduct transactions they can distance themselves from the transactions that can be directly linked to the suspected ML/TF offence. Some examples of ML/TF indicators related to the use of a third party can be found below.

- Multiple deposits which are made to an account by non-account holders.
- Unrelated parties sending email money transfers or other forms of electronic transfers to the same beneficiary with no apparent relation to the recipient.

- A client conducts a transaction while accompanied, overseen or directed by another party.
- A client makes numerous outgoing payments to unrelated parties shortly after they receive incoming funds.
- Wire transfers, deposits or payments to or from unrelated parties (foreign or domestic).
- Client appears to be or states they are acting on behalf of another party.
- Account is linked to seemingly unconnected parties.

Use of nominee

A nominee is a particular type of other party that is authorized to open accounts and conduct transactions on behalf of a person or entity. There are legitimate reasons for relying on a nominee to conduct financial activity of behalf of someone else. However, this type of activity is particularly vulnerable to ML/TF as it is a common method used by criminals to distance themselves from the transactions that could be linked to suspected ML/TF offences. These are some examples of ML/TF indicators relating to the misuse of nominees.

- A person maintains multiple accounts, or maintains accounts in the names of family members or corporate entities with no apparent business or other purpose.
- A person or entity other than the stated account holder conducts the majority of the transaction activity, which seems unnecessary or excessive.
- Client is involved in transactions or account activities that are suspicious, but refuses or is unable to answer questions related to the account or transactions.

Use of gatekeeper

A gatekeeper is a person who controls access to the financial system and can act on behalf of a client. Such services can be abused so that criminals have access to the financial system

without being identified. Gatekeepers may include lawyers, accountants and other professions which can access the financial system on behalf of a client. While there are many transactions where it is "normal" to have a gatekeeper represent the interests of a client, such an appearance of normalcy can also be utilized to the advantage of criminals to provide the veneer of legitimacy to their transactions. The use of gatekeepers themselves is not an indicator of an ML/TF offence. However, entities should consider the following examples which can indicate misuse of the financial system access provided to gatekeepers.

- Gatekeeper avoids identifying their client or disclosing their client's identity when such identification would be normal during the course of a transaction.
- Gatekeeper is willing to pay higher fees and seeks to conduct the transaction quickly when there is no apparent need for such expediency.
- Gatekeeper is utilizing their account for transactions not typical of their business (e.g. pass through account, excessive amount of cash, payment to non-clients or parties of transactions).
- Apparent misuse of correspondent accounts by gatekeeper to obscure the origin and/or destination of funds.

ML indicators related to bribery and corruption

Bribery and corruption represent significant risks to the integrity of financial systems and the global economy. When assessing whether a client presents a risk of laundering the proceeds of corruption, reporting entities should:

- Consider whether the environment and/or industry in which the client operates is at higher risk of exposure to bribery and corruption.

- Determine if the client is a politically exposed domestic person, politically exposed foreign person or head of an international organization.

High-risk jurisdictions for corruption

A client operates in, or is related to companies operating in, jurisdictions identified as high-risk for corruption. These jurisdictions may include those that:

- Score low on the [Transparency International Corruption Perceptions Index](#).
- Exhibit known deficiencies in anti-money laundering or anti-terrorist activity financing regimes, including countries identified by the Financial Action Task Force
- Are known for banking secrecy, which can obscure financial transactions and ownership structures.

High-risk industries for bribery

A client operates in a high-risk industry for bribery, particularly those requiring government authorizations or licenses. Examples of industries with elevated bribery risks include:

- Public works and construction
- Oil and gas
- Mining

Politically exposed domestic or foreign persons

A client is a politically exposed foreign person operating in a high-risk jurisdiction where they are responsible for granting authorizations, licenses, or contracts to businesses.

A client is a family member or known associate of a politically exposed foreign person.

A client engages in high-value transactions with politically exposed domestic or foreign persons, including their family members or known associates. These transactions may signal attempts to influence decision-making, conceal illicit proceeds, or provide undue benefits.

Indicators of transactions related to foreign corruption

Foreign corruption often involves the misuse of public office or authority for personal gain, frequently facilitated through financial transactions designed to obscure the origin, movement, or ownership of illicit funds. These transactions may involve politically exposed domestic or foreign persons, or entities operating in high-risk environments and/or industries. Identifying such transactions is critical for detecting and mitigating the risks of laundering proceeds derived from corrupt activities.

The following indicators can assist reporting entities in recognizing suspicious transactions that may be linked to foreign corruption:

Opaque long-term government contracts

Transactions involving long-term government contracts that may have been awarded through an opaque selection process to a legal entity or multiple legal entities with similar [beneficial owners](#).

Services provided to state-owned entities in high-risk jurisdictions for corruption

Transactions involving services provided to state-owned companies or public institutions by companies registered in [high-risk jurisdictions for corruption](#).

Government business conducted through personal accounts

Transactions involving government business being conducted through personal accounts, which may indicate an attempt to divert or misuse public funds.

Involvement of unrelated entities, intermediaries, or consultants

Transactions involving entities, intermediaries, or consultants that:

- Did not take part in the related project.
- Would not typically be involved in the client's industry or line of business.

High-value payments in high-risk jurisdictions

A client makes high-value payments for services, such as consulting fees, in jurisdictions identified as high-risk for corruption.

Commission payments to offshore bank accounts

A client makes commission payments into offshore bank accounts, particularly when the accounts are located in jurisdictions with weak anti-money laundering and anti-terrorist activity financing controls or secrecy laws.

Transactions with opaque or newly established entities

A client transacts with newly established, opaque, or unidentified entities. This includes entities registered at the address of an offshore company service provider, especially when there is no apparent business relationship between the client and the entity.

Funds routed through intermediaries in unrelated countries

Funds move through intermediaries in third countries or through countries with which the client does not appear to have any legitimate business or personal ties.

Use of fictitious email addresses and false invoices

Transactions involve fictitious email addresses or false invoices used to justify payments, particularly in the context of international transactions.

Use of third parties or legal entities to obscure ownership

A client uses intermediaries, professional facilitators, or complex legal entity structures to hide the origin or ownership of funds. For example, the client may use such structures to obscure the purchase or sale of real estate.

Transactions with vague or fraudulent documentation

A client conducts transactions that involve:

- Vague or incomplete payment details.
- Fraudulent documentation used to justify the transfer of funds.

Indicators related to domestic and foreign politically exposed persons

Domestic and foreign politically exposed persons are individuals who, due to their prominent positions or influence, may present a higher risk of involvement in corruption, bribery, or other illicit financial activities. These risks are heightened when such individuals use their authority or connections to access financial systems for personal gain, often involving complex schemes to conceal the origin, movement, or ownership of illicit funds.

The following indicators can assist reporting entities in identifying suspicious behaviours or transactions involving domestic and foreign politically exposed persons that warrant further scrutiny or reporting:

Unexplained growth in net worth

A client who is a politically exposed domestic or foreign person exhibits a significant increase in net worth that cannot be reasonably explained by their reported income, assets, or legitimate sources of wealth.

Connections to politically exposed foreign persons

A client employs or has business connections with a politically exposed foreign person, or their family members or close associates.

Payments for travel and lodging of politically exposed domestic or foreign persons

Payments are made for the travel and lodging of politically exposed domestic or foreign persons, or their family members, which may indicate attempts to curry favor or provide undue benefits.

High-value asset transactions

Transactions involving politically exposed domestic or foreign persons related to the acquisition of high-value assets, such as real estate, luxury vehicles, or other luxury goods, that are:

- Inconsistent with the client's reported source of wealth.
- Outside the individual's normal pattern of activity or lifestyle.

Ownership of entities with little or no commercial purpose

A client who is a politically exposed domestic or foreign person owns or controls a legal entity, particularly one located offshore, which appears to serve little or no legitimate commercial purpose.

Assets held in the names of intermediate legal entities

Assets are held in the name of legal entities whose beneficial owners are tied to a politically exposed domestic or foreign person, their family members, or close associates.

Use of multiple bank accounts without commercial justification

A client who is a politically exposed domestic or foreign person maintains multiple bank accounts, particularly when there is no apparent commercial or legitimate reason for doing so.

Suspicious transaction patterns inconsistent with the client's profile

Transactions involving politically exposed domestic or foreign persons that deviate significantly from the individual's expected financial profile. Examples may include:

- Multiple cash deposits into their account.
- Multiple electronic funds transfers from different senders within a short time frame.
- Situations where the politically exposed person is both the ordering and beneficiary client for electronic funds transfers.

Indicators related to TF

In Canada, TF offences make it a crime to knowingly collect or provide property, which can include financial or other related services, for terrorist purposes. This section is focused on examples that are specific to the possible commission of a TF offence.

However, please note that the other ML/TF indicators in this guidance may also prove relevant in determining when you have reasonable grounds to suspect the commission of TF, as the methods used by criminals to evade detection of ML are similar.

Indicators specifically related to TF:

The indicators below are some examples of indicators relating to TF.

- Transactions involving certain high-risk jurisdictions such as locations in the midst of or in proximity to, armed conflict where terrorist groups operate or locations which are subject to weaker ML/TF controls.
- An account opened in the name of an entity, a foundation or association, which may be linked or involved with a suspected terrorist organization.
- The use of funds by a non-profit organization is not consistent with the purpose for which it was established.
- Raising donations in an unofficial or unregistered manner.

- Client identified by media or law enforcement as having travelled, attempted or intended to travel to high-risk jurisdictions (including cities or districts of concern), specifically countries (and adjacent countries) under conflict and/or political instability or known to support terrorist activities and organizations.
- Transactions involve persons or entities identified by media and/or sanctions lists as being linked to a terrorist organization or terrorist activities.
- Law enforcement information provided which indicates persons or entities may be linked to a terrorist organization or terrorist activities.
- Client conducted travel-related purchases (e.g. purchase of airline tickets, travel visa, passport, etc.) linked to high-risk jurisdictions (including cities or districts of concern), specifically countries (and adjacent countries) under conflict and/or political instability or known to support terrorist activities and organizations.
- Person or entity's online presence supports violent extremism or radicalization.
- Client donates to a cause that is subject to derogatory information that is publicly available (e.g. crowdfunding initiative, charity, non-profit organization, non-government organization, etc.).